facilities, as well as some protection from competition, in return for accepting obligations such as financing the government (through the Statutory Liquidity Ratio or SLR), helping in monetary transmission (through maintaining the Cash Reserve Ratio or CRR), opening branches in unbanked areas and making loans to the priority sector.

The second grand bargain was between the public sector banks (PSBs) and the government, whereby these banks undertook special services and risks for the government, and were compensated in part, by the government standing behind the public sector banks. As India has developed, both these bargains are coming under pressure. And it is development and competition that is breaking them down.

Today, the investment needs of the economy, especially long-term investment in areas like infrastructure, have increased. The government can no longer undertake these investments. Private entrepreneurs have been asked to take them up. To create space for financing these investments, the government has to pre-empt less of the banking system's assets. But the nature of financing required is also changing. Private investment is risky, so there has to be more risk-absorbing financing such as from corporate bond markets and from equity markets. As more sources of financing emerge, not only will banks no longer be able to have a monopoly over financing corporations and households, they will also have to compete for the best clients, who can access domestic and international markets.

Similarly, deposit financing will no longer be as cheap, as banks will have to compete with financial markets and real assets such as housing for the household's savings. As households become more sophisticated, they will be unwilling to leave a lot of money in low-interest-bearing accounts. Of course, households will still be willing to accept low interest rates in return for liquidity. So privileged access to the central bank's liquidity windows will allow banks to offer